

Shoals Technologies Group Inc SHLS

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by

Mason

			2026	2027
Price:	9.95	EPS	.49	.84
Shares Out. (in M):	168	P/E	0	12
Market Cap (in \$M):	1,670	P/FCF	0	0
Net Debt (in \$M):	166	EBIT	0	196
TEV (in \$M):	1,836	TEV/EBIT	0	9.4

Description

The Opportunity.

The thesis is straightforward: SHLS's core utility-scale solar EBOS business – electrical cabling / “plumbing” for large solar farms – is reaccelerating, gross margins appear to have bottomed, and \$13–15m of legal expense should largely roll off in 2027. At the same time, the Company is ramping two higher-margin growth products that we believe are underappreciated by the Street: BESS recombiners and 800V DC cabling for next-generation data centers. We see these new products driving a step-change in revenue mix, margins, and EPS power into 2027–2028.

We see a \$23 YE27 target price for upside of 120% on 20x \$1.15 of 2028 Adj EPS (~100% above street) and 14x Adj EBITDA.

The Business

Shoals makes the electrical “plumbing” that connects solar panels together on big solar farms – the wires, connectors and combiner boxes (EBOS, or electrical balance of system) that carry the electricity a solar field generates back to a single point. They pioneered a plug-and-play / fused-harness approach that strips out labor and failure points on site and hold meaningful share of the US utility-scale EBOS market. The core business is growing 10%+, backlog and awarded orders are at record levels (\$758m as of 1Q26), and 2026 guidance was just raised to \$600-640m of revenue and \$118-132m of adj EBITDA – with mgmt framing it as conservative.

BESS / Recombiner

SHLS is applying its EBOS expertise to BESS recombiners: engineered boxes that safely gather and combine high-current battery flows in utility-scale storage and data-center backup-power applications. The Company has a \$75m BESS backlog, expects \$30–35m of BESS revenue this year, and has indicated the business could grow 2–3x next year – we see upside to these numbers. At management's disclosed economics of roughly \$50–60m per GW, that implies meaningful embedded volume already, with upside if customer deployments accelerate.

SHLS primary partner is on.Energy, which JPM recently hosted at a private company conference. According to JPM, on.Energy generated roughly \$40m of FY24 revenue, \$90m in FY25, is tracking toward \$900m in FY26, and has orders closer to \$6bn for FY27. If on.Energy ramps anywhere near that trajectory, SHLS's recombinder pull-through could be substantial. SHLS has noted that on.Energy has multiple partners but not numerous ones; we believe SHLS is positioned as a strategic manufacturing partner given its custom, high-volume solutions.

SHLS's right to win is its ability to custom-manufacture at scale: BESS recombiners are engineered-to-order for specific site layouts, but SHLS can produce them with the volume, quality control, and plug-and-play architecture that smaller panel shops and large off-the-shelf OEMs struggle to replicate.

800V DC Cabling (inside the data center)

SHLS's Air Link product targets power distribution inside next-generation 800V DC data centers. Rather than relying on traditional busbar / busway architectures, Air Link uses prefabricated cable assemblies with molded drops that can reduce on-site labor, shorten deployment timelines, and lower maintenance complexity. We believe this matters because busway and copper lead times have extended materially, while hyperscalers are increasingly focused on faster, safer, and more modular power-distribution architectures.

We estimate SHLS content around ~\$100m per GW. We model limited contribution in 2027 and roughly 400 MW in 2028, with upside if 800V DC architectures scale faster or if Air Link is pulled into integrated data-center power solutions. SHLS is currently in the process of obtaining UL certification, which they expect they could receive by the end of this year at which point they could formally start to take orders.

Why Now / What the Street is Missing

We see data center exposure rising from 1% of revenue in 1Q26 to 25% in 2028 driving material beats to street estimates and a multiple re-rating. Additionally, the Company seems to be back on a beat and raise cadence, especially top line.

The Company has discussed 1Q26 as the gross margin bottom. SHLS is ramping a new, far more automated and efficient facility. This facility is a drag on 1H26 margins, a benefit in 2H26 and they will see the full benefit by mid-2027. BESS and 800V are both margin-accretive on top of that.

OpEx / legal expenses. SHLS is carrying ~\$13-15m of legal expense this year (vs an EBITDA guide of ~\$125m) tied to ongoing litigation. The street is not modeling these expenses correctly into 2027 / 2028 – they shld largely go away next year, a direct flow-through to EBITDA and EPS that consensus is missing. Additionally, SHLS just received a positive ruling in their ITC case against Voltage who SHLS alleges patent infringed. SHLS and Voltage head to trial and August and we would not be surprised to see the courts rule in favor of SHLS leading to a cash payment from Voltage to SHLS.

We see significant upside to street Adj EPS estimates of 60% and 98% in 2027 and 2028.

Valuation

The stock trades at less than ~13x and 9x our 2027 and 2028 Adj EPS of \$0.85 and \$1.15 and 9x our 2027 Adj EBITDA and 6.5x our 2028 Adj EBITDA. This is despite 24% of our 2028 revenue coming from BESS and 800V DC – both ramping rapidly – on top of a core solar biz growing 10%+ driving revenue growth of 23% and 22% in 2027 and 2028.

As mentioned above, we see a \$23 YE27 target price for upside of 120% on 20x \$1.15 of 2028 Adj EPS and 14x Adj EBITDA.

Bear Case

The main bear case has been that NXT (Nextpower) bought an EBOS company in May 2025, which will pressure SHLS' share. However, to the contrary, SHLS's core solar revenue is set to accelerate in 2026, NXT has not been discussing this very aggressively, the product is viewed as margin-accretive for NXT, and so they aren't going to want to blow up industry pricing, and SHLS's patent protected BLA product is superior. We believe this is very baked into the story at this point, and SHLS continues to post record backlog in a growing EBOS market.

Risks

EBOS pricing pressure from NXT or others; slower-than-expected ramp of BESS / 800V (new products with execution and timing risk); a slowdown in US utility-scale solar (policy / ITC-driven); concentration around the non-exclusive on.Energy relationship; and litigation outcomes / legal expense not rolling off on the timeline we expect.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

First 800V DC orders (expected late 2026 / early 2027) and first revenue in 2027; BESS revenue and bookings ramp through 2026 and 2027 BESS guidance; continued upside to / raises of the 2026 guide; the legal expense roll-off becoming visible in 2027 numbers.

Messages

Subject	EBOS Gross Margins
Entry	07/05/2026 07:26 PM
Member	greenshoes93
Can you expand on why you think EBOS gross margins are stabilizing. When I looked at this business last year, seemed like they were losing share and still pricing well above new competitors? Would love to hear the evidence you gathered for why that's changed. Thanks for posting!	
Subject	Re: EBOS Gross Margins
Entry	07/06/2026 11:02 AM
Member	Mason
Hi Greenshoes, I think that is a misperception around Nextpower's entry into EBOS. EBOS is meant to be margin accretive to NXT and most of the street point to high-30% target GMs there - vs I model SHLS core solar EBOS GMs going from 31%, 33% and 34% 2026-2028. I think SHLS' new facility alone cld have a bigger impact than 200bps. Also, I think it hard to argue they are losing any material share, they grew 19% in 2025, grew 75% in 1Q26 and I have them at ~50% growth in 2Q (40% if take out DC).	